

Attribution rules for personal services income [¶33-325]

[¶33-325]

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There are specific anti-avoidance rules in ss [GB 27–GB 29](#) which prevent higher income earners from diverting personal services income to other associated entities such as companies, trusts and LTCs. The policy intention is to ensure that these taxpayers cannot avoid the highest personal tax rate (currently 39%). The attribution rules apply to the 2000–01 income year and subsequently.

In September 2011, following the Supreme Court's decision in *Penny and Hooper v C of IR* ([\(2011\) 25 NZTC ¶20-073](#)), IR published Revenue Alert [RA 11/02](#) which set out IR's concerns in relation to taxpayers structuring their affairs to divert personal services income to take advantage of lower marginal tax rates and reduced child support or student loan obligations. [RA 11/02](#) was re-issued as Revenue Alert [RA 21/01](#) ahead of the increase in the top marginal tax rate on 1 April 2021.

In [Revenue Alert 21/01](#) the Commissioner acknowledges there are legitimate reasons for using entities such as trusts in many business situations and goes on to consider the circumstances where the payment of a below market salary may constitute tax avoidance. However, where a business involves the provision of services, IR is more likely to closely examine arrangements where the individual service provider (usually the real owner or controller of the business) is not receiving a significant portion of the profits derived from the business. This will be particularly so where there is an absence of other business profit drivers and other non-tax reasons do not justify the level of remuneration received by the individual.

Although [RA 21/01](#) provides that IR's approach will focus on the commercial reality of the business and not on "market" salaries or comparable industry averages, the Revenue Alert also provides that it is more likely to investigate arrangements where the service provider's remuneration is less than 80% of total distributions received by the service provider, the service provider's family and associated entities. However, this should not be relied on as a safe harbour as neither the legislation nor the Supreme Court prescribed a minimum percentage to distribute.

Under the attribution rules, the amount of income that is derived by the associated entity of a taxpayer who provides personal services is attributed to that taxpayer, after the deduction of allowable expenditure. The amount attributed is deductible to the associated entity in the income year in which the amount is attributed.

These rules apply purely for the purposes of income tax. The parties' transactions remain unaffected in other legal or commercial contexts.

Interpretation statement IS 19/02

[IS 19/02](#), "Income tax — attribution rule for income from personal services" provides guidance on the application of the threshold tests and exemptions that determine when the attribution rule will apply. The statement makes minor amendments to and replaces the previous statement, [IS 18/03](#). The statement contains a number of examples and also the following flowchart for determining if the income attribution rule applies (note the paragraph references are to paragraphs in the statement):

Application of the attribution rules

The attribution rules apply when a taxpayer who earns income from personal services (the working person) inserts an associated entity between the working person and the party acquiring those services. The buyer of the services deals with the associated entity, which derives the income arising, but it is the working person who actually provides the services. Subject to prescribed criteria, the interposed associated entity must attribute an amount to the working person under s [GB 29](#).

Attribution to the working person is required when the services are acquired and provided from different persons as noted above, and the following criteria are satisfied:

- # 80% or more of the associated entity's total assessable income from personal services during the income year is derived from the supply of services to the buyer of the services or an associate of the buyer
- # 80% or more of the associated entity's total assessable income from personal services is derived through services personally performed by the working person or their relative (the test for a relative, discussed below, is applied at the beginning of the purchaser's income year)
- # the working person's net income for the income year exceeds \$70,000 (from 1 April 2025, \$78,100), including any amounts available for attribution (for this purpose, the working person's net income includes all income including from sources such as income from business, dividends, rent, interest, wages and salary and attribution income), and
- # substantial business assets (as defined) are not a necessary part of the business structure used to derive the associated entity's assessable income.

Two persons are relatives under s [YA 1](#) when one person:

- # is within the second degree of blood relationship to the other
- # is in a marriage, civil union or de facto relationship with the other, or in a marriage, civil union or de facto relationship with a person who is within the second degree of blood relationship to the other
- # is the adopted child of the other or is a child of a person who is within the first degree of relationship to the other
- # is the trustee of a trust under which a relative has benefited or is eligible to benefit.

This definition extends past parents, siblings and children to include aunts, uncles, nephews, nieces, half-siblings, grandparents and grandchildren.

There may be more than one person to whom income must be attributed. In this situation the amount to be attributed is apportioned between these persons on the basis of the value of the services personally performed by each. There is no guidance given as to how the value of each person's services is determined. An appropriate method may be the proportion of each person's market value salaries, or a percentage based on outputs produced. Whatever basis is used, it must be reasonable in the circumstances.

Exceptions to the rules

The attribution requirement in s [GB 27\(1\)](#) does not apply if the working person and the associated entity are *both* non-residents during the whole of the entity's income year. Secondly, there is no requirement to attribute net income to the extent that the services personally performed are essential support for a product supplied by the associated entity.

Third, the attribution rules do not apply if the associated entity is a natural person who is not a partner in a partnership nor a trustee of a trust. This exception prevents the rule from applying to a sole trader who employs relatives to carry out personal services where the sole trader and the relatives are not in partnership or part of a trust.

The attribution also does not apply if the associated entity is a CFC and the amount is an attributable CFC amount under s [EX 20B\(3\)\(h\)](#) or gives rise to attributed CFC income under s [CQ 2\(2B\)](#) or attributed CFC loss under s [DN 2\(2\)](#).

There is also a de minimis exception in s [GB 27\(3\)](#). If the amount of net income to be attributed by the associated entity to the working person does not exceed \$5,000, s [GB 27](#) does not apply, unless this particular exception has been applied to prevent income being attributed to the services provider by another associated entity for the income year.

Taxpayers may choose between the standard attribution of personal services rules or the CFC rules if they provide personal services through a foreign company. Income from personal services derived through a CFC are excluded from the de minimis exception, so that a person deriving such an amount has to attribute it irrespective of the amount. In addition, the exemption from attribution under s [GB 27](#) for income derived from a CFC only applies if the person has filed a tax return attributing income to the person under the CFC rules.

Defined terms

Section [GB 28](#) contains a number of specially defined terms and other specific requirements which govern the application of the rules.

“Associated persons”: 2 persons are associated for the purposes of the attribution rules if they are associated at the time that the services in question are personally performed by the working person. However, there is no association between one buyer and another when:

- # both of them are public authorities, or
- # the working person cannot reasonably be expected to know that a particular buyer of services is associated with another buyer other than by making a specific inquiry.

Note that in [IS 19/02](#), the Commissioner states that the working person should reasonably be able to know that 2 buyers may be associated where the associated buyers have similar names, where the working person was contracting with the same person on behalf of 2 buyers, where there is obvious and immediately accessible public information available to the working person about the buyers, or where there is local or regional knowledge of the association. The requirement that the person should be “reasonably expected to know” will depend on the facts and circumstances of each case.

“Substantial business assets”: these are depreciable property that:

- # costs more than \$75,000 or at least 25% of the associated entity's total assessable income from services for the income year, calculated on balance date, and
- # is not for private use (note that this is not an absolute requirement, as discussed below).

The cost of depreciable property includes the cost price of property subject to a specified lease, or the acquisition cost to the lessee of property that is subject to a finance lease or a hire purchase agreement.

Depreciable property can satisfy the test for substantial business assets even if there is an element of private use or enjoyment. Under s [GB 28\(8\)](#), up to 20% of the property's use can be for private use or enjoyment without altering its status as a substantial business asset. The 20% use threshold is calculated according to the following proportions:

- # Property subject to the FBT rules: the proportion that the number of days for which FBT is payable bears to the total days in the tax year in which the property is owned or is subject to a specified lease, a finance lease or a hire purchase agreement.
- # Other property: the proportion that non-deductible expenditure incurred in respect of the property bears to all expenditure incurred in the tax year, for property that is not subject to the FBT rules.

[IS 19/02](#) contains a flowchart for determining if there are substantial business assets.

The Commissioner's view is that business assets must be indispensable or essential to the provision of the particular services provided by the working person to the buyer of those services. Tools and equipment that are only infrequently (if at all) used by a working person to perform the personal services provided to a buyer of the personal services may not satisfy the narrow test of indispensability.

It is cost that is relevant and not market value, and cost is the same as the cost used for depreciation purposes. The cost tests are alternatives, either of which must be satisfied.

Calculating attributed amounts

Interpretation statement, [IS 21/02](#), “Income tax – calculating income from personal services to be attributed to the working person” follows on from [IS 19/02](#), in response to requests for further guidance on the rules – specifically how to calculate the amount of income that needs to be attributed to the working person ([¶133-345](#)).

Law: IT07 ss [DC 8](#), [GB 27–GB 29](#), [YA 1](#) (“relative”)

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